EUROPEAN ECONOMICS ANALYST

ECB—Potential Implications of Rising Sovereign Stress

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- European sovereign risk is back in focus, with French 10-year bond spreads rising to the highest level since 2012. While sovereign concerns have mainly focused on France, signs of spillovers into other bond markets have emerged, raising questions around the potential implications for ECB policy.
- First, tighter financial conditions could have implications for the ECB's hiking cycle. Our Euro area financial conditions index (FCI) has tightened by nearly 40bp since the start of July, potentially substituting for one 25bp ECB rate hike. We maintain our forecast for a third and last hike in December, but tighter financial conditions reduce the urgency to raise rates beyond this, strengthening our view that the Governing Council is unlikely to step up the pace of hikes or take rates significantly restrictive.
- Second, the Governing Council could lean against further sovereign stress by slowing the pace of balance sheet runoff. One option would be a return to partial reinvestments (which could be used flexibly); another would be to introduce new purchases to build the planned structural bond portfolio. While potentially helpful for mitigating fragmentation risk, changes to the balance sheet runoff policy would likely be controversial and require further signs of bond market stress.
- Third, the ECB could activate its anti-fragmentation tools in case of extreme bond market pressures. The Outright Monetary Transactions (OMT) programme was designed to support countries in a macro adjustment programme with potentially unlimited size. The Transmission Protection Instrument (TPI) was devised to "counter unwarranted, disorderly market dynamics" that threaten monetary policy transmission. The TPI does not require a macro adjustment programme but is subject to several criteria albeit with significant room for Governing Council discretion.
- TPI activation would likely require significantly more intense and broad-based sovereign stress, especially with inflation well above target. That said, the bar for TPI purchases to protect "innocent bystanders" from contagion (such as Spain) seems much lower than intervention in markets where current fiscal policies are inconsistent with the stabilisation of public debt (such as France). The TPI could possibly be used temporarily under disorderly market conditions to buy time for a policy adjustment (in a parallel to the mini-budget episode in the UK). But addressing fundamental sovereign risk requires a fiscal rather than an ECB

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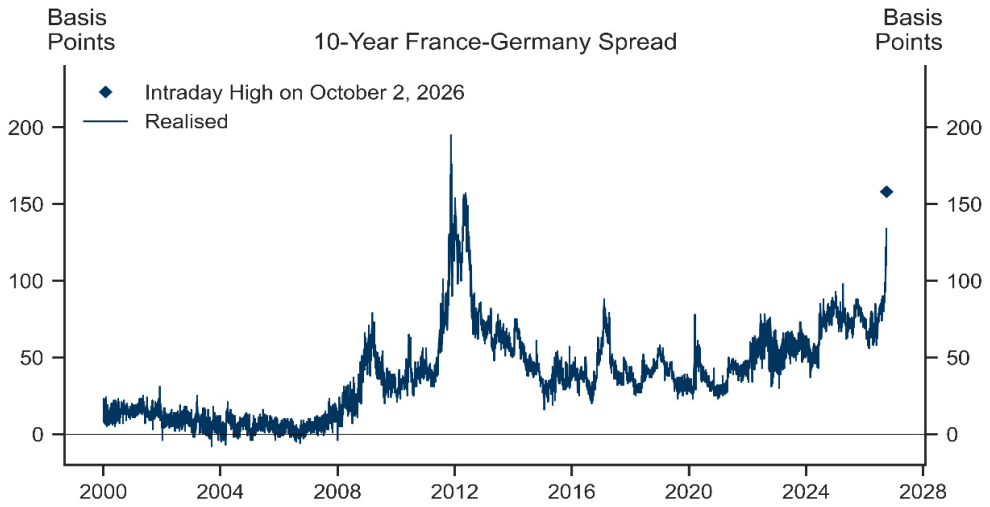
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ECB—Potential Implications of Rising Sovereign Stress

Rising global yields, persistent government deficits and increasing political uncertainty have put European sovereign risk back in focus, led by France. The 10-year French spread over Germany rose to 158bp this week, up 72bp over the last month, to reach the highest level since 2012. While sovereign concern has mainly focused on France, signs of spillovers into other bond markets have emerged, with the 2-year Italian yield moving up rapidly over the last couple of days.

Exhibit 1: French Bond Spreads Have Widened Sharply



Source: Goldman Sachs Global Investment Research, Haver Analytics

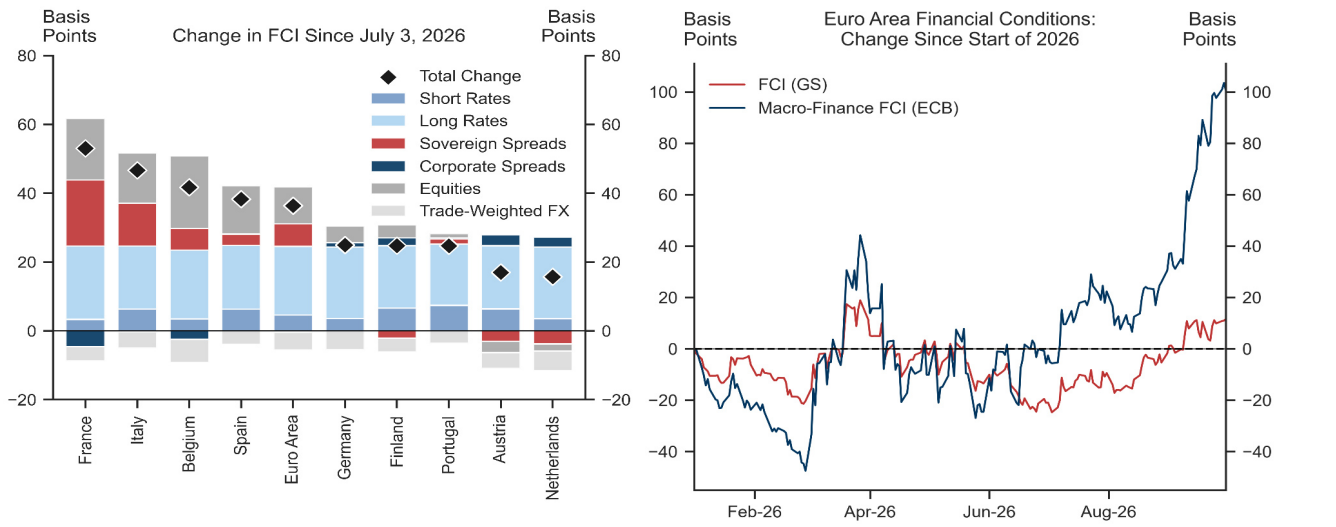
We therefore discuss the potential implications of rising sovereign stress for ECB policy.

#1 Rates

First, tighter financial conditions could have implications for the ECB's hiking cycle. Our Euro area financial conditions indices (FCIs)—which include rates, spreads, equity prices and the broad Euro—have tightened notably in recent weeks (Exhibit 2, left). Our French FCI is now 53bp tighter since early July, with smaller moves in Germany (25bp) and a 36bp tightening at the area-wide level.

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Exhibit 2: Financial Conditions Have Tightened



Source: Goldman Sachs Global Investment Research, ECB

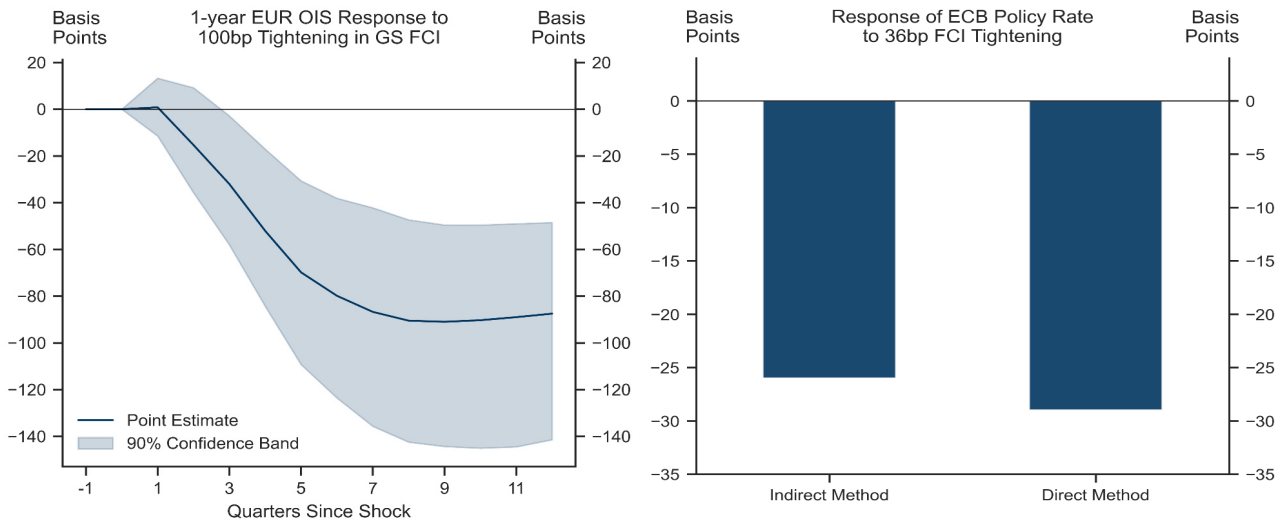
The scale of tightening is more modest compared to the start of the year and when considering bank lending quantities, which so far remain robust. But the tightening in Euro area financial conditions is larger when measured with the ECB's Macro-Finance FCI, which placed less weight on equity prices and the Euro (Exhibit 2, right).

Tighter financial conditions imply weaker growth and, all else equal, fewer ECB rate hikes to stabilise inflation. Our estimates suggest that a persistent 100bp tightening in the FCI slows growth by about 1pp over the subsequent year. Weaker growth, in turn, lowers the chance of second-round effects from higher energy prices via increased slack and thereby substitutes for policy rate hikes. A simple calculation would suggest that the 36bp area-wide FCI tightening seen since the start of July might slow growth by 0.36pp, weaken inflation by 0.04-0.07pp (using typical "Phillips curve" estimates) and lower the required policy rate by 26bp (using a typical Taylor rule). Using the observed FCI tightening since the start of the year would halve the implied effect on the policy rate.

Consistent with this, our past work shows empirically that tighter financial conditions typically entail lower policy rates, with a 100bp tightening in the FCI on average associated with a 80bp decline in rates over the subsequent year (Exhibit 3, left). These estimates would again suggest that the FCI tightening observed so far might roughly substitute for one 25bp rate hike (Exhibit 3, right).

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Exhibit 3: Tighter Financial Conditions Mean Fewer Hikes

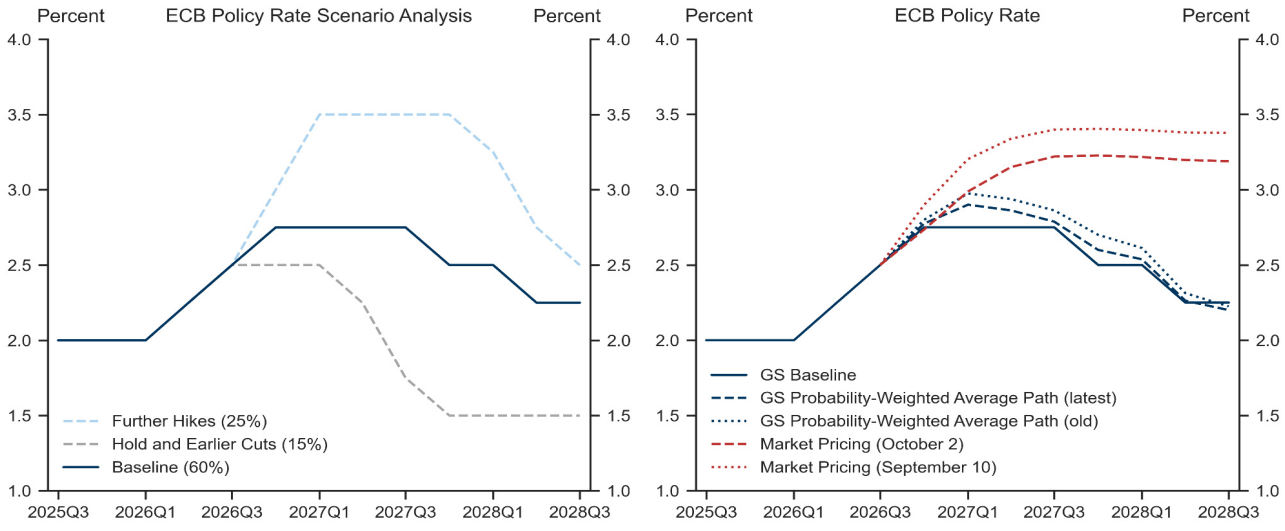


Source: Goldman Sachs Global Investment Research

Recent ECB commentary has started to highlight the importance of long-term bond yields and financial conditions for the policy outlook. Finnish governor Olli Rehn, for example, noted this week that the rise in long-term interest rates will slow growth and reduce passthrough of energy shocks to wages and prices.

We maintain our forecast that the Governing Council will hike for a third and last time in December given pipeline inflation pressures from the energy shock (Exhibit 4). But tighter financial conditions reduce the urgency to raise rates beyond this, strengthening our view that the Governing Council is unlikely to step up the pace of hikes or take rates significantly restrictive. We therefore raise the subjective odds we assign to our baseline forecast to 60% (from 50% before) and lower the probability that the ECB hikes notably above 3% (from 35% to 25%). As a result, our probability-weighted forecast remains below market pricing.

Exhibit 4: Tighter Financial Conditions Support Our Forecast for Limited ECB Tightening



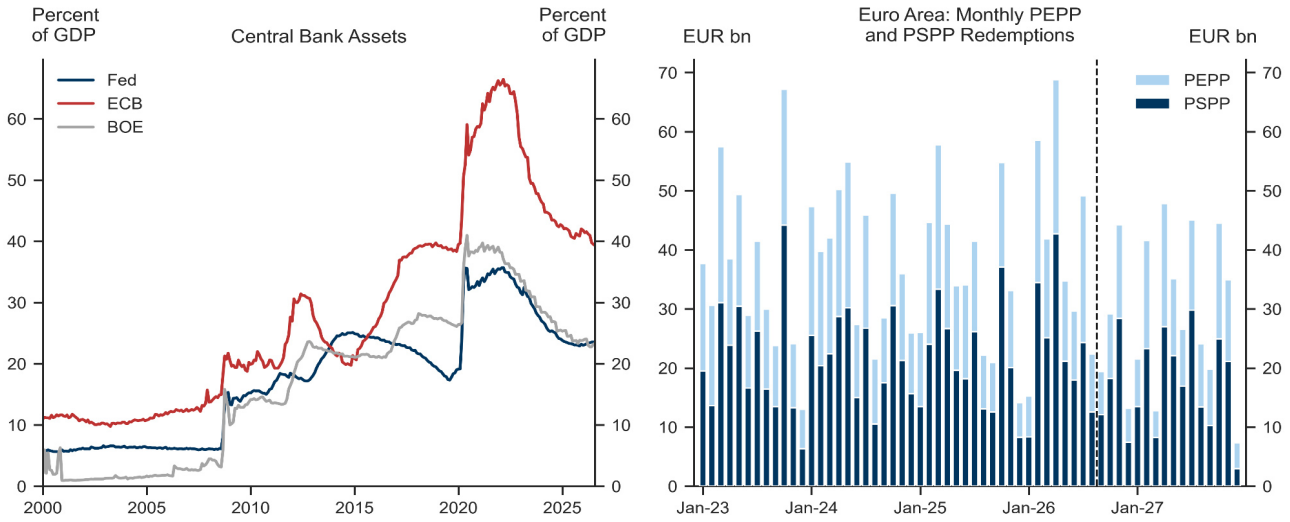
Source: Goldman Sachs Global Investment Research, Haver Analytics, Goldman Sachs FICC and Equities

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#2 QT

The balance sheet is in full run-off since the Governing Council stopped reinvestments of maturing bonds under the PSPP and PEPP in July 2023 and December 2024, respectively. Since then, the ECB's bond holdings have shrunk by EUR 1.3tr and the level of reserves is approaching a level that the Governing Council might regard appropriate, raising the question whether the pace of balance sheet run-off could be amended to support sovereign markets. The Fed and BoE have recently adapted their run-off policies, too (Exhibit 5, left).

Exhibit 5: The ECB Could Slow Balance Sheet Runoff



Source: Data compiled by Goldman Sachs Global Investment Research, Haver Analytics, ECB

One potential option would be to slow QT via partial reinvestment. For example, the ECB could maintain PEPP runoff (as these reflect covid emergency purchases) while reinvesting maturing bonds under the PSPP. Doing so would slow the average balance sheet runoff from EUR 400bn to around EUR 150bn over the next year (Exhibit 5, right). Moreover, the ECB could indicate that it intends to reinvest proceeds flexibly across maturities and countries, potentially providing support to front-end yields and supporting transition to a structural bond portfolio with shorter maturities. While the magnitude of reinvestments would be modest (eg, about EUR 4bn per month for France), this could provide an important market signal.

That said, reinvesting maturing bonds under either the PSPP or PEPP to lean against sovereign risk would likely be controversial. PEPP was designed as a temporary emergency purchase programme to deal with the fallout of the pandemic, while PSPP was aimed at lifting inflation during times of persistently weak price pressures. Stopping the unwind of either programme would thus risk blurring the lines between the ECB's instruments and thereby likely raise legal questions.

An alternative option would be for the ECB to maintain PEPP and PSPP runoff, while introducing new purchases designed to build up its planned structural bond portfolio. This approach would likewise slow (or stop) the shrinkage of the balance sheet but might fit better with the ECB's objective of transitioning to a structural bond portfolio. A decision to do so could be linked to the ECB's operational framework review.

In sum, slowing balance sheet runoff is a potential option to lean against fragmentation

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risk but one that is likely to be controversial. As a result, we would likely need to see more sovereign stress before the Governing Council considers steps in this direction.

#3 Fragmentation Tools

Third, the Governing Council could decide to activate its anti-fragmentation tools in case of extreme bond market pressures.

The Outright Monetary Transactions (OMT) programme—launched in 2012 and never activated—is designed to support countries in an ESM-led macro adjustment programme by purchasing short-dated bonds with potentially unlimited size. The OMT's requirement for a policy programme, however, entails significant political stigma, especially for large countries like France.

Exhibit 6: The OMT vs TPI

	OMT	TPI
Introduced	September 2012	July 2022
Used?	No	No
Goal	Safeguard monetary policy transmission and the singleness of monetary policy.	Counter unwarranted, disorderly market dynamics that seriously threaten monetary policy transmission.
Conditionality	Conditional to EFSF/ESM programme.	No conditionality.
Activation	Discretionary, if warranted from a monetary policy perspective.	Discretionary, with criteria to assess soundness and sustainability of fiscal and macroeconomic policies as input.
Eligible Assets	Sovereign bonds.	Focused on public sector securities; private sector securities could be considered, if appropriate.
Maturity	1 to 3 years.	1 to 10 years.
Purchase size	No ex ante quantitative limit	No ex ante quantitative limit

Source: Goldman Sachs Global Investment Research, ECB

The Transmission Protection Instrument (TPI)—launched in July 2022—does not require such a programme and is designed to "counter unwarranted, disorderly market dynamics that pose a serious threat to the transmission of monetary policy across the euro area." The TPI is unlimited in nature but subject to a number of eligibility criteria (Exhibit 7). These criteria require countries to pursue "sound and sustainable fiscal and macroeconomic policies," including (1) compliance with the EU fiscal framework, (2) absence of severe macro imbalances, (3) fiscal sustainability and (4) meeting the required country specific recommendations set by the European Commission.

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Exhibit 7: The TPI's Criteria

The Transmission Protection Instrument

21 July 2022, Press Release

*"The Governing Council will consider a **cumulative list of criteria** to assess whether the jurisdictions in which the Eurosystem may conduct purchases under the TPI pursue **sound and sustainable fiscal and macroeconomic policies**. These criteria will be an input into the Governing Council's decision-making and will be **dynamically adjusted** to the unfolding risks and conditions to be addressed.*

In particular, the criteria include:

1. ***Compliance with the EU fiscal framework**: not being subject to an excessive deficit procedure (EDP), or not being assessed as having failed to take effective action in response to an EU Council recommendation under Article 126(7) of the Treaty on the Functioning of the European Union (TFEU);*
2. ***Absence of severe macroeconomic imbalances**: not being subject to an excessive imbalance procedure (EIP) or not being assessed as having failed to take the recommended corrective action related to an EU Council recommendation under Article 121(4) TFEU;*
3. ***Fiscal sustainability**: in ascertaining that the trajectory of public debt is sustainable, the Governing Council will take into account, where available, the debt sustainability analyses by the European Commission, the European Stability Mechanism, the International Monetary Fund and other institutions, together with the ECB's internal analysis;*
4. ***Sound and sustainable macroeconomic policies**: complying with the commitments submitted in the recovery and resilience plans for the Recovery and Resilience Facility and with the European Commission's country-specific recommendations in the fiscal sphere under the European Semester".*

Source: ECB

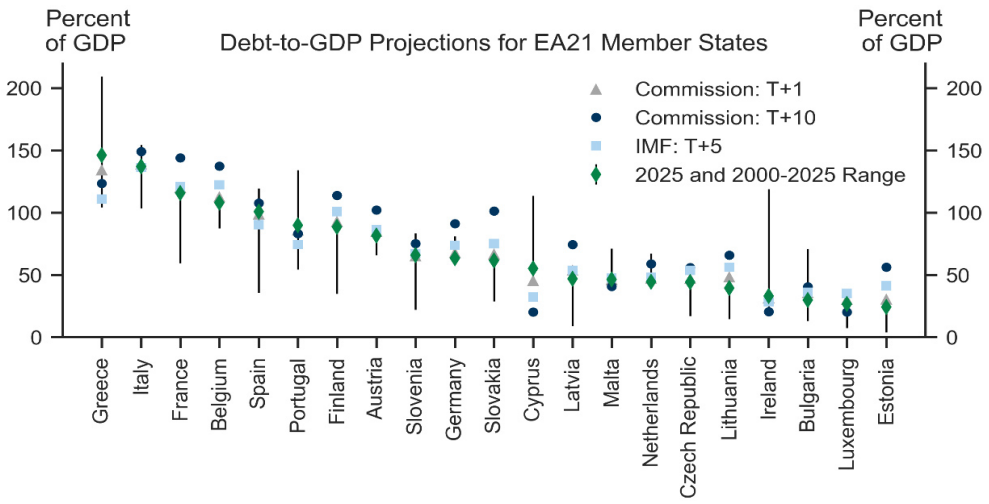
All member states are currently likely to fulfil criteria (1), (2) and (4) because no country under Excessive Deficit Procedure has been assessed as having failed to take effective action, no country is under an Excessive Imbalance Procedure, and the European Commission is currently assessing compliance with country specific recommendations as the final tranches of the Recovery Fund are disbursed.

The assessment of a country's debt trajectory, however, requires substantial judgment by the Governing Council given the broad definition of public debt sustainability (Exhibit 8). France is a case in point, with both the European Commission's and IMF's debt sustainability analyses showing an elevated likelihood that debt continues to increase over the medium-term.

We have likewise shown that France's debt trajectory looks increasingly challenging, as the primary surpluses required to stabilise debt-to-GDP under our medium-term assumptions of 1% growth, 2% inflation, and 4% borrowing costs has rarely been achieved in recent history.

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Exhibit 8: Debt Sustainability is the Most Difficult Criterium



Source: Goldman Sachs Global Investment Research, Haver Analytics

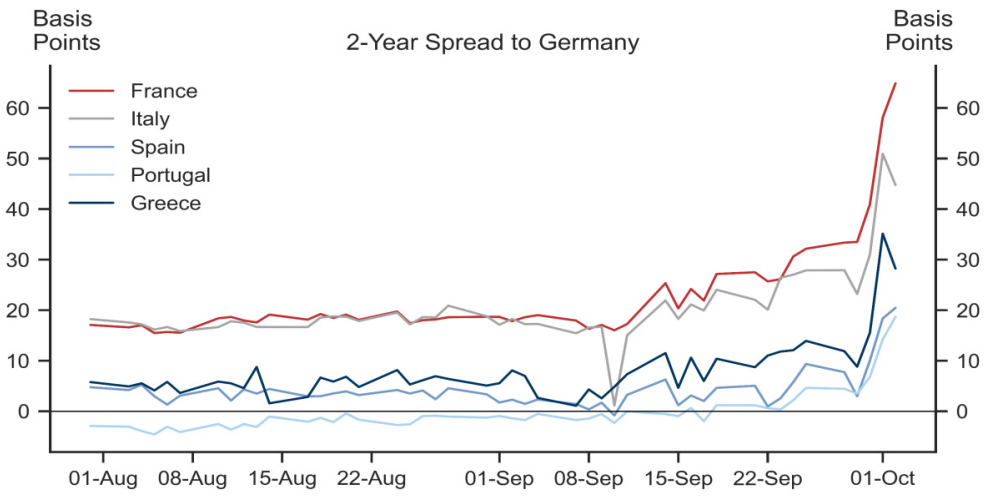
The Governing Council has signalled that the list of macro eligibility criteria serves as an input into the decision and would be "dynamically adjusted." The room for discretion in assessing the TPI's criteria allows the Governing Council to activate TPI very quickly and unilaterally in the event of unwarranted sovereign stress.

The objective of the TPI—to counter unwarranted, disorderly market dynamics—suggests that significantly more intense and broad-based sovereign stress would be required for the Governing Council to consider activation. This is especially true in the current high inflation environment. Bundesbank president Nagel, for example, emphasised this week that the ECB's instruments are designed for price stability and "have nothing to do with any specific yield spread."

We see a lower hurdle for TPI purchases to counteract "non-fundamental" fragmentation risk (ie, to protect "innocent bystanders" from contagion, such as Spain) than bond purchases in markets where fiscal policies are inconsistent with the stabilisation of public debt. That is, the Governing Council could decide to arrest spillovers from France into Spanish, Portuguese or Italian bonds, in so far the respective fiscal policies remain set on debt reduction, and indicate in its communication that it stands ready to do so. We will therefore closely watch for signs of bond market contagion, in particular to front-end rates and other assets (Exhibit 9).

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Exhibit 9: Watching for Signs of Contagion



Source: Goldman Sachs Global Investment Research, Haver Analytics

Purchases in markets with "fundamental" fragmentation risk, however, are inconsistent with the criteria of the tool. We therefore see a high hurdle for the TPI to be used for France as long as fiscal policy is not on a stabilising course. Consistent with this, French governor Moulin argued this week that questions about the ECB stepping in to help France fund itself reflected "flawed reasoning." That said, the TPI could possibly be used temporarily under disorderly market conditions to buy time for a policy adjustment, as seen during the mini-budget in the UK (where the BoE announced time-limited gilt purchases, which led the Truss government to reverse its expansionary fiscal plans). But continued fundamental sovereign risk would ultimately require a fiscal rather than an ECB solution.

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